

(v) Dividends paid or proposed and date of payment

A company whose auditors' report on the financial statement for a period is qualified should not publish abridged financial statements for that period.

Statement of cash flow

Introduction

The statement of cash flows is an integral part of the financial reporting. The statement of cash flows presents the inflows and outflows of cash equivalents by category over a period of time.

The statement of cash flows provides users with a basis to:

- Assess the ability of the enterprise to meet its debt obligations
- Assess the entity's ability to generate and utilize cash
- Assess the ability of the enterprise to finance its current operations using its own cash or external sources of cash
- Reconcile profit or loss and cash flows
- Estimate future cash flows

IAS 7: Statement of cash flows. IAS 1 states that a complete set of financial statements should include a statement of cash flows. IAS 7: **Statement of cash flows** sets out the detailed requirements for the format and content of the statement.

Methods of preparing cash flows statement

IAS 7 allows two approaches to identifying the cash flows from operating activities:

- Direct method; and
- Indirect method
-

Format for cash flow statements

Direct method

CASH FLOW STATEMENT FOR THE YEAR ENDED 32/12/XX		
ABC Ltd		
OPERATING ACTIVITIES	N	N
Cash received from customers (Note 1)		X
Cash from other operating income (Note 2)		X
Cash paid to supplier (3)		(X)
Cash paid for other operating expenses (Note 4)		(X)
Tax paid (Note 5)		(X)
Net cash flow / outflow from operating activities		XX
INVESTING ACTIVITIES		
(Purchase) / Sale of non-current asset (Note 6)	X	
(Purchase) / Sale of investment (Note 6)	X	
Dividends received	X	
Interests received	X	
Net cash inflow / (outflow) from investing activities		XX
FINANCING ACTIVITIES		
Issue / (Redemption) of shares (Note 7)	X	
Issue / (Redemption) of debenture (Note 8)	X	

Dividend paid	
Interest	(X)
Net cash inflow / (outflow) from financing activities	(X)
	XX
Increase / (Decrease) in cash and cash equivalent	XX
Cash and cash equivalent b/f	XX
	XX
Cash and cash equivalent c/f	XX

Indirect method

ABC Ltd

CASH FLOW STATEMENT FOR THE YEAR ENDED 32/12/XX**OPERATING ACTIVITIES**

	N	N
Operating profit (Note 1)		XX
Adjustment for items not involving movement of cash		
Depreciation (Note 2) <i>(Add back to profit figure)</i>	X	
Profit or (loss) on sale of non-current asset / investment (Note 3) <i>— Deduct gain on disposal. Add losses on disposal.</i>	X	
Deferred income	X	

Net cash flow / (outflow) from operating activities before
 Changes in working Capital
 Increase / (decrease) in current assets
 Increase / (decrease) in current liabilities
 Tax paid

	XX
	XX
	(X)
	XX

Net cash inflow / (outflow) from operating activities**INVESTING ACTIVITIES**

(Purchase) / Sales of non-current assets
 (Purchase) / Sales of investment
 Dividends received
 Interests received

	X
	X
	X
	X

Net cash inflow / (outflow) from investing activities**FINANCING ACTIVITIES**

Issue / (Redemption) of shares
 Issue / (Redemption) of Debenture
 Dividend paid
 Interest paid

	X
	X
	(X)
	(X)

Net cash inflow/ (outflow) from financing activities

XX

Increase/ (Decrease) in cash and cash equivalent

XX

Cash and cash equivalent b/f

XX

Cash and cash equivalent c/f

XX

OPERATING ACTIVITIES: this refers to the normal or basic business of enterprises. It may be derived by either the direct method or the indirect method, Where the direct method is applied, reconciliation with the indirect method is required as a not to the cash flow statement

a) **Direct method:** cash flow from operating activities consist of the following

- Cash received from customers
- Payment to suppliers and employees
- Income tax paid

b) **Indirect method:** it consist of

- The profit before taxation
- Adjustment for the items not involving the investment of fund (e.g.) depreciation, loss of profit on sale of non-current asset, other provision
- Increase or decrease in working capital (other than cash and cash equivalent) and income tax paid

INVESTMENT ACTIVITIES: funds included in this subject are those applied on or received from disposal and returns on non-current asset and investment other than short-term investments of a term below 90 days which are regarded as cash equivalent

FINANCING ACTIVITIES: Funds generated from injection of capital applied on returns to shareholders and capital redemption (including long term liability) is brought into the cash flow statement under this head.

STATEMENT OF CASH & CASH EQUIVALENT: this statement is sometimes excluded by some who prepare the financial statement. It explains the composition of cash and cash equivalent of the business at the statement of financial position date, though cash balances, short term investment (of a term not beyond 90 days) and other than trade investments and bank overdrafts

Importance of Cash Flow For Business

Business must have sufficient cash otherwise they cannot survive. A business can make a loss but still survive if it has sufficient cash or access to liquidity (cash, assets that can be quickly turned into cash and new sources of financing). In the other hand a business that is profitable cannot survive if it cannot pay its obligations when they fall due because it does not have enough cash or access to other sources of liquidity.

It is therefore extremely important and appropriate that an enterprise should present a statement of cashflows as a financial statement. The purpose of cashflow is to show what the cash flows of the entity might be in the future profit and cashflow.

When a business makes profit of \$1000, this does not mean that it receives \$1000 more in cash than it has spent. Profit and cashflow are different, for several reasons.

ANALYSIS AND INTERPRETATION OF FINANCIAL STATEMENTS

Financial analysis

There is no single definition of financial statement analysis. One possible definition is as follows. **Financial statement analysis** can be defined as the process of understanding the risk and profitability of a firm through analysis of reported financial information, by using different accounting tools and techniques.

The above definition refers to accounting tools and techniques. Ratios are one such tool. Financial statements are used to make decisions. They are used by shareholders and investors, and also by lenders, as well as by management. The financial statements contain a large number of figures, but the figures themselves do not necessarily have much meaning to a user of the financial statements. However, the figures can be analyzed and interpreted by calculating financial ratios.

Financial ratios can help the user of the financial statements to assess:

- The financial position of the entity, and
- Its financial performance

Using ratios: comparisons

Financial ratios can be used to make comparisons:

- a) Comparisons over a number of years. By looking at the ratios of a company over a number of years, it might be possible to detect improvements or deterioration in the financial performance or financial position of the entity. Ratios can therefore be used to make comparisons over time, and to identify changes or trends
- b) Comparisons with the similar ratios of other, similar companies for the same period.
- c) In some cases, perhaps, comparisons with 'industry average' ratios.

Users of the financial statements and their information needs

IAS 1 defines general purpose financial statements.

General purpose financial statements (referred to as 'financial statements') are those intended to meet the needs of users who are not in a position to require an entity to prepare reports tailored to their particular information needs.

Some users (including management and perhaps lenders are in a position to require the preparation of tailored reports. However, there are several groups of people who are not in this position and may use general purpose financial statements:

- ❖ investors and potential investors;
- ❖ lenders;
- ❖ employees;
- ❖ suppliers;
- ❖ customers;
- ❖ government and government agencies;
- ❖ the general public.

All these groups are interested in financial performance, financial position and cash flows, but some users are mainly interested in performance and profitability, while others may be more interested in liquidity and gearing or other matters.

For example:

1. A private investor needs to know whether to continue to hold shares or to sell them. He or she will tend to be most interested in profitability ratios (such as gross and net profit margin and return on capital employed) and investor ratios (such as earnings per share, dividend cover and price earnings ratio).
2. A potential acquirer needs information about an entity's profitability and probably also information about whether or not the entity is managed efficiently. The acquirer's management is likely to focus on profit margins, return on capital employed, asset turnover and working capital ratios.
3. A bank that has been approached to lend money to an entity needs to know whether it will receive interest payments when these are due and whether the money that it lends will eventually be repaid. A bank manager will normally be most interested in cash flows and liquidity ratios (current ratio, acid test ratio) gearing and interest cover. A potential lender will also be interested in predicting future performance as without sales there will be no cash.

Any analysis should focus on the needs of the user. What do they need to know? What are they interested in? What decision do they need to make?

Ratio analysis approaches

- 1) Trend/Time series analysis: this involves computing ratios and comparing them with previous years ratio of the same company to assess the performance of the company
- 2) Cross-sectional analysis: this approach entails computing ratios of company and comparing them with the average of the industry in which the company operates to assess the performance of the company

Based on these two approaches, the reference point to which ratios of the company may be compared includes

- (i) Previous year's ratio (ii) The average of the industry (iii) inter-company analysis

Categories of financial ratios

The main financial ratios can be classified as:

- i. Financial performance: return on capital, profitability and use of assets ratio
- ii. Working capital efficiency ratios
- iii. Liquidity ratios
- iv. Debt ratios
- v. Investor ratios

- 1) **PROFITABILITY RATIOS**: The aim of 'profitability ratios' is to assess the financial performance of a profitmaking entity and the return that it makes on the capital invested. Some of them include:

- a) **Return on capital employed**:

Profit-making companies should try to make a profit that is large enough in relation to the amount of money or capital invested in the business. The most important profitability ratio is probably return on capital employed or ROCE.

$$(\text{ROCE}) = \frac{\text{Profit before interest and taxation}}{(\text{share capital and reserves} + \text{long term debt} + \text{preference share capital})} \times 100\%$$

Capital employed is the share capital and reserves, plus long-term debt capital such as bank loans, bonds and loan stock. Where possible, use the average capital employed

during the year. This is usually the average of the capital employed at the beginning of the year and end of the year.

The following figures relate to Company X for Year 1.

	1 January Year 1 N	31 December Year 1 N
Share capital	200,000	200,000
Share premium	100,000	100,000
Retained earnings	500,000	600,000
Bank loans	200,000	500,000
	<u>1,000,000</u>	<u>1,400,000</u>
Profit before tax		N 210,000
Income tax expense		(65,000)
Profit after tax		<u>145,000</u>
Interest charges on bank loans were N30,000.		<u>145,000</u>

ROCE is calculated as follows:

$$\text{ROCE} = 240,000 (W1) / 1,200,000 (W2) \square \square 100 = 20\%$$

W1

Profit before interest and tax	N
Profit before tax	210,000
Add back interest deducted	30,000
Profit before interest and tax	<u>240,000</u>

W2

Capital employed	N
Capital employed at the beginning of the year	1,000,000
Capital employed at the end of the year	1,400,000
Average capital employed	<u>2,400,000 ÷ 2</u>
	<u>1,200,000</u>

This ROCE figure can be compared with the ROCE achieved by the company in previous years, and with the ROCE achieved by other companies, particularly competitors.

b) Return on shareholder capital

Return on shareholder capital (ROSC) measures the return on investment that the shareholders of the company have made. This ratio normally uses the values of the shareholders' investment as shown in the statement of financial position (rather than market values of the shares).

Formula: Return on shareholder capital

$$\text{ROSC} = \frac{\text{Profit after taxation and preference dividend}}{\text{Share capital and reserves}} \times 100$$

Share capital and reserves

The average value of shareholder capital should be used if possible. This is the average of the shareholder capital at the beginning and the end of the year. Profit after tax is used as the most suitable measure of return for the shareholders, since this is a measure of earnings (available for payment as dividends or for reinvestment in the business)

Example: Return on shareholder capital

The following figures relate to Company X for Year 1.

	1 January Year 1	31 December Year 1
	₦	₦
Share capital	200,000	200,000
Share premium	100,000	100,000
Retained earnings	500,000	600,000
Shareholder capital	800,000	900,000
Bank loans	<u>200,000</u>	<u>500,000</u>
	1,000,000	1,400,000

Profit before tax	₦ 210,000
Income tax expense	(65,000)
Profit after tax	<u>145,000</u>

Interest charges on bank loans were ₦30,000.

ROSC is calculated as follows:

$$\text{ROSC} = 145,000 / 850,000 \text{ (W2)} \times 100 = 17.06\%$$

W1 Shareholder capital

Shareholder capital at the beginning of the year	₦ 800,000
Shareholder capital at the end of the year	900,000

Average shareholder capital

$$\frac{1,700,000}{2} = 850,000$$

c) Return on assets

Formula: Return on assets ROA = $\frac{\text{Profit before interest and taxation}}{\text{Assets}} \times 100\%$

Assets

The normal convention is to use 'total assets' which includes both current and non-current assets. However, other variations are sometimes used such as noncurrent assets only.

Analyzing return: profitability and asset utilization

The size of the return on capital employed, or the size of the return on shareholders' capital, depends on two factors:

- ❖ The profitability of the goods or services that the entity has sold
- ❖ The volume of sales that the entity has achieved with the capital and assets it has employed: this is known as asset utilization or asset turnover

d) Profit/sales ratio (and cost/sales ratios)

The profit/sales ratio is the ratio of the profit that has been achieved for every ₦1 of sales.

Formula: Profit/sales ratio

$$\text{Profit/sales ratio} = \frac{\text{Profit}}{\text{Sales}} \times 100$$

= low margin suggests poor performance.

The definition of profit can be any of the following:

- Profit before interest and tax

- Gross profit (sales minus the cost of sales) = 'gross profit ratio'
- Net profit (profit after tax) = 'net profit ratio'.

It is important to be consistent in the definition of profit, when comparing performance from one year to the next.

The gross profit ratio is often useful for comparisons between companies in the same industry, or for comparison with an industry average. It is also useful to compare the net profit ratio with the gross profit ratio. A high gross profit ratio and a low net profit ratio indicate high overhead costs for administrative expenses and selling and distribution costs.

Profit/sales ratios are commonly used by management to assess financial performance, and a variety of different figures for profit might be used.

Example: Profit to sales ratios

The following figures relate to Company X for Year 1.

Profit before tax	N	210,000
Income tax expense		(65,000)
Profit after tax		<u>145,000</u>

Interest charges on bank loans were N30,000.

Sales during the year were N5,800,000.

Profit to sales ratios is calculated as follows:

a) If profit is defined as profit before interest and tax: = $240,000 (W1) / 5,800,000 \times 100 = 4.14\%$

b) If profit is defined as profit after interest and tax: = $145,000 (W1) / 5,800,000 \times 100 = 2.5\%$

W1 Profit before interest and tax	N	
Profit before tax		210,000
Add back interest deducted		<u>30,000</u>
Profit before interest and tax		<u>240,000</u>

Asset turnover ratio

The asset turnover ratio is the ratio of sales to capital employed.

It measures the amount of sales achieved during the period for each N1 of investment in assets.

Formula: Asset turnover ratio

$$\text{Asset turnover ratio} = \frac{\text{Sales}}{\text{Share capital} + \text{reserves} + \text{long term debt}} \times 100$$

2)

WORKING CAPITAL EFFICIENCY RATIO: Working capital efficiency ratios measure the efficiency with which the entity has managed its receivables, inventory and trade payables. The ratios are usually measured in terms of an average number of days. These ratios try to assess the liquidity position of a company. Some of them include;

i.

Average time to collect (receivables days or days sales outstanding)

This ratio estimates the time that it takes on average to collect the payment from customers after the sale has been made. It could be described as the average credit period allowed to customers or the 'average collection period'. It measures how many credit days are given to customer. {Debtor collection period} = $\frac{\text{Trade receivables} \times 365 \text{ days}}{\text{Credit sales}}$

Don't stop

ii.

Average time for holding inventory (inventory turnover). This ratio is an estimate of the average time that inventory is held before it is used or sold.

Formula: Average time for holding inventory (Inventory holding period or average inventory days) $\text{Average inventory days} = \frac{\text{Inventory} \times 365}{\text{Cost of sales}}$

In theory, inventory should be the average value of inventory during the year. This is the average of the inventory at the beginning of the year and the inventory at the end of the year.

iii.

Average time to pay suppliers or Average payable days: $= \frac{\text{Trade Payables} \times 365 \text{ days}}{\text{Purchases}}$

This ratio measures how many credit days are received from suppliers. Trade payables should be the average value of trade payables during the year. This is the average of the trade payables at the beginning of the year and the trade payables at the end of the year. However, the value for trade payables at the end of the year is also commonly used. When the cost of purchases is not available, the **cost of sales** should be used instead. This figure is obtained from the profit and loss information in the statement of comprehensive income

Example: Working capital efficiency ratios

The following information is available for Company Y for Year 1.

	1 January Year 1	31 December Year 1
	N	
Inventory	300,000	360,000
Trade receivables	400,000	470,000
Trade payables	150,000	180,000

Sales in Year 1 totalled N3,000,000 and the cost of sales was N1,800,000.

The Working capital efficiency ratios are calculated as follows:

Efficiency ratios

Average days to collect $= [435,000/3,000,000] \times 365 \text{ days} = 52.9 \text{ days}$

Inventory turnover period $= [330,000/1,800,000] \times 365 \text{ days} = 66.9 \text{ days}$

Average time to pay $= [165,000/1,800,000] \times 365 \text{ days} = 33.5 \text{ days}$

Workings

Average inventory $= [N300,000 + N360,000]/2 = N330,000$

Average trade receivables $= [N400,000 + N470,000]/2 = N435,000$

Average trade payables $= [N150,000 + N180,000]/2 = N165,000$

on average Customer are granted credit period of 52.9 days
Company enjoys credit period of 33.5 days.

3)

LIQUIDITY RATIOS: Liquidity means having cash or access to cash readily available to meet obligations to make payments. For the purpose of ratio analysis, liquidity is measured on the assumption that the only sources of cash available are:

❖ Cash in hand or in the bank, plus

❖ Current assets that will soon be converted into cash during the normal cycle of trade. It is also assumed that the only immediate payment obligations faced by the entity are its current liabilities.

$$\frac{26444499}{1020224} = 2.6$$

1020,224

- There are two ratios for measuring liquidity:
- a) Current ratio
 - Quick ratio, also called the acid test ratio.
 - Current ratio = $\frac{\text{Current assets}}{\text{Current liability}}$: 1
- The above m.c. calc. the len. current has current asset, which when realized, can meet its current liabilities 2.6 times or 260% of current liabilities*

The amounts of current assets and current liabilities in the statement of financial position at the end of the year may be used. It is not necessary to use average values for the year. It is sometimes suggested that there is an 'ideal' current ratio of 2.0 times (2:1).

It indicates the ability of a company to meet its short term liabilities from its current assets without having to non-current assets or investments or issue share to raise additional fund

b) Liquidity/Quick/Acid-test ratio = $\frac{\text{Current assets} - \text{inventories}}{\text{Current liabilities}}$: 1

1139,499

1020224

= 1.1:1

This ratio indicates the ability of the company to meet its short-term liabilities from its current asset without having to sell stocks

This provide good test whether the enterprise has sufficient resources

Quick ratio or acid test ratio: The quick ratio or acid test ratio is the ratio of current assets excluding inventory to current liabilities. Inventory is excluded from current assets on the assumption that it is not a very liquid item.

Quick ratio = $\frac{\text{current assets excluding inventories}}{\text{Current liabilities}}$

in terms of receive cash to settle its current liabilities. the above ratio means the liquidable

The amounts of current assets and current liabilities in the statement of financial position at the end of the year may be used. It is not necessary to use average values for the year. This ratio is a better measurement of liquidity than the current ratio when Inventory turnover times are very slow, and inventory is not a liquid asset.

It is sometimes suggested that there is an 'ideal' quick ratio of 1.0 times (1:1).

current liabilities 1.1 times or 110% of current assets

4) **DEBT RATIO:** Debt ratios are used to assess whether the total debts of the entity are within control and are not excessive.

a. **Gearing (leverage) ratios;** Gearing (also called leverage), measures the total long-term debt of a company as a percentage of either:

- The equity capital in the company: or
- The total capital of the company.

Formula: Debt to equity ratio = $\frac{\text{Long term debt}}{\text{Share capital} + \text{reserves}}$ x 100 or

Formula: Gearing ratio

Gearing ratio = $\frac{\text{long-term debt}}{\text{Share capital} + \text{reserves} + \text{long term debt}}$ x 100

It is usually appropriate to use the figures from the statement of financial position at the end of the year. However, a gearing ratio can also be calculated from average values for the year. When there are preference shares, it is usual to include the preference shares within debt capital.

A company is said to be **low-gearred** when the amount of its debt capital is less than its share capital and reserves. This means that a company is low-gearred when the gearing ratio is less than either 50% or 100%, depending on which method is used to calculate the ratio.

A high level of gearing may indicate the following:

- ❖ The entity has a high level of debt, which means that it might be difficult for the entity to borrow more when it needs to raise new capital.
- ❖ High gearing can indicate a risk that the entity will be unable to meet its payment obligations to lenders, when these obligations are due for payment.

The gearing ratio can be used to monitor changes in the amount of debt of a company over time. It can also be used to make comparisons with the gearing levels of other, similar companies, to judge whether the company has too much debt, or perhaps too little, in its capital structure.

b. **Interest cover** = $\frac{\text{profit before interest and tax}}{\text{Interest charges in the year}}$

Interest cover measures the ability of the company to meet its obligations to pay interest

Profit before interest and taxation is calculated by adding the interest charges for the year to the figure for profit before taxation.

A low interest cover ratio suggests that the company could be at risk from too much debt in relation to the amount of profits it is earning.

Note that what constitutes low or high gearing very much depends on the type of company. For example:

- ❖ Companies with high levels of physical assets (e.g. property companies) are able to borrow because they can offer assets as security to lenders.
- ❖ Companies with low levels of physical assets (e.g. advertising companies) might be expected to have lower levels of borrowing because they cannot offer assets as security to a lender.

Example: Gearing ratios

The following information is available for Company Z for Year 6:

At 31 December Year 6

Total assets	N000
	<u>5,800</u>

Share capital

Reserves

1,200
<u>2,400</u>

3,600

1,500

5,100

700

5,800

N000

700

(230)

470

(140)

330

Long-term liabilities (Bank loans)

Current liabilities

For the year to 31 December Year 6

Profit before interest and taxation

Interest

Taxation

Profit after taxation

The following ratios can be calculated to shed light on the company's gearing in Year 6 (compared to previous years or to other companies).

Debt to equity ratio: $1,500/3,600 \times 100 = 41.7\%$

Gearing ratio: $1,500/5,100 \times 100 = 29.4\%$

Interest cover: $700/230 = 3.04$ times

5) INVESTOR RATIOS

- Earnings per share (EPS)
- Price earnings ratio (P/E ratio)
- Dividend yield
- Dividend cover

Investor ratios are of interest to investors in shares and bonds and their advisers. Some of these measure stock market performance. Earnings per share (EPS) and the price earnings ratio (P/E ratio)

Earnings per share (EPS)

EPS is normally viewed as a key measure of an entity's financial performance. It measures the profit earned for each equity share of the entity.

Basic EPS is calculated as follows:

Formula: Basic EPS =

$$\frac{\text{Net profit (or loss) attributable to ordinary shareholders during a period}}{\text{Weighted average number of shares in issue during the period}}$$

Price-earnings ratio (P/E ratio)

The price/earnings (P/E) ratio measures how expensive or cheap a share is in relation to its annual earnings. A P/E ratio of 10, for example, means that investors are prepared to pay a price for the share equal to 10 years of earnings (at the level of EPS in the previous year). A high P/E ratio is usually a sign of confidence in an entity, because it suggests that its earnings are expected to grow in future years. A low P/E ratio usually means that an entity's future prospects for EPS growth are expected to be poor, so that investors do not put a high value on the shares.

The P/E ratio is calculated as follows:

Formula: Price earnings ratio

$$\text{P/E ratio} = \frac{\text{Market value of share}}{\text{Earnings per share}}$$

Dividend yield

The dividend yield measures the dividend paid by an entity in relation to its price. It is calculated as follows:

Formula: Dividend yield

$$\text{Dividend yield} = \frac{\text{Dividend per share}}{\text{Current market price per share}} \times 100$$

This is a measure of the return that a shareholder can obtain (the dividend received) in relation to the current value of the investment in the shares (the price of the shares). A high dividend yield might seem attractive to investors, but in practice companies with a high dividend yield might have a relatively low share price.

There are two things to note:

- Dividend yield reflects the dividend policy of the entity, not its actual performance. Management decides on the amount of the dividend and this may not only depend on earnings, but on the amount that must be retained for future investment in EPS growth.

Dividend per Share -

The ratio is based on the most recent dividend, but the current share price may move up and down in response to the market's expectations about future dividends. This may lead to distortion in the ratio

Dividend cover

The dividend cover ratio measures the number of times that an entity's dividends are 'covered' by profits (how many times an entity could pay the current level of dividend from its available profits).

It is calculated as follows:

Formula: Dividend cover

Dividend cover = $\frac{\text{Earnings per share}}{\text{Dividend per share}}$

or

$$= \frac{\text{Earnings}}{\text{Dividends}}$$

A low dividend cover (for example, less than 2), suggests that dividends may be cut if there is a fall in profits.

Example: Dividend yield and dividend cover

The following amounts relate to Entity Q.

The current market price of its equity shares is ₦5.50 per share.

Profit for the most recent period was ₦1.4 million and equity dividends paid were ₦450,000.

There are 1.2 million ₦1 equity shares in issue.

$$\text{Earnings per share} = \frac{1,200,000}{1,400,000} = \text{₦1.17}$$

$$\text{P/E ratio} = \frac{1.17}{5.50} = 4.7$$

$$\text{Dividend per share} = \frac{450,000}{1,200,000} = 0.38$$

$$\text{Dividend yield} = \frac{0.38}{5.50} \times 100\% = 6.9\%$$

$$\text{Dividend cover} = \frac{1,400,000}{450,000} = 3.1 \text{ times or } \frac{1.17}{0.38} = 3.1 \text{ times}$$

$$= \frac{1,400,000}{120,000} = 11.67$$

LIMITATIONS OF INTERPRETATION TECHNIQUES

There are several limitations or weaknesses in the use of interpretation techniques for analyzing the financial position and financial performance of companies. Some of these are limitations of ratio analysis (the method of interpretation most often used) and some are limitations of financial statements and financial information.

1. Differences in accounting policy

One of the uses of financial ratios is to compare the financial position and performance of one company with those of similar companies for the same period. Comparisons between companies might not be reliable, however, when companies use different accounting